AFFINITY TANKER WEEKLY

16 OCTOBER 2026

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Crude Tanker Comments

VLCC sentiment has softened over the course of the week. Owners began broadly positive, with several records only recently having been broken. But a lack of fresh enquiry, a more balanced tonnage list, and a series of lower fixtures have pulled expectations down. The Atlantic has shown the clearest downward pressure. A few Brazil-East market quotes emerged early in the week: the first went on subs at WS 718, seven points below last done, and the more recent one went on subs at WS 704. This route often attracts competitive offers, but the pace of the decline suggests that it would likely be assessed even lower to begin next week. A USG-East voyage went on subs at USD 71 Mn before failing, around USD 10 Mn below the previous fixture.

East of Suez has also eased amid sparse firm activity, although persistent Middle East transit risks importing countries' general preference for AG crude continue to protect rates. An inside AG-East voyage reportedly went on subs at WS 1,423, around 150 points above the Baltic assessment last night, though the rate has not been confirmed. The principal dampening factor remains the lack of activity. Tonnage availability has increased, but not to the point of oversupply. Suezmax rates also remain exceptionally high, making VLCCs comparatively attractive, while conflict in the Middle East continues to keep rates well elevated. Direction now hinges on the next meaningful run of enquiry: renewed VLCC activity could quickly steady rates, while a sustained quiet spell would leave owners increasingly exposed to further downward corrections.

On this day back in 1923, brothers Walter and Roy Disney founded their legendary animation studio in Hollywood. Snow White is one of their more famous early films, and the titular character famously sings the song "Someday My Prince Will Come". Shipowners might possibly feel like singing a version called "Someday my cargo will come" as charterers have starved the market all week in the Atlantic. Down in West Africa, rates have been taken down to WS 925 from WS 1,000 on a named voyage, with another cargo quoting and then WDWF twice over. Rates look set to correct further downwards next week and, given how high rates had gotten, perhaps this all part of "Circle of Life" for the tanker market as Mufasa from the Lion King would say. Guyana saw rates repeat at WS 1,000 for UKCM on Monday, but the charterer sold the barrels FOB and the new charterer took another ship for marginally less, but again the market has been so quiet that rates will surely fall from its great heights like many a Disney villain has done. CPC by contrast was the one active area of the market and rates have risen further, with WS 1,150 confirmed on subs and even rumours of WS 1,200 on subs! The list of tonnage remains tight going into next week, but given how soft the Atlantic is, it seems rates are now starting to plateau here. East of Suez again has been very slow going, with ships increasingly beginning to give up on the Fujairah market and ballast West to find employment.

Med Aframax owners opened the week aiming to repeat last done levels on natural dates, pushing wherever possible, and growing interest in larger sizes threatened to tip the balance. Things were quiet from midweek onwards and given the long tonnage list and weakening US market, a correction was in store. TD19 ends the week at WS 715, and further drops are expected. The North Sea began the week quieter, though the US market was gaining traction again and repeating last done rates looked difficult; rates were very voyage-dependent. The market remained quiet for the rest of the week, and after the reset in the USG and the Med, one is expected here, too. TD7 ends the week at WS 580.

Product Tanker Comments

The AG LR2 market has been a "tale of two halves" over the last five days. A few ships from last week have been fixed away quietly, with a couple having ballasted in from the Med as the Red Sea has taken a bit of a breather and the West loading market remains turned off on the LR2 segment. The past few days' uncharacteristic pause in the X-Med Afra market has led to more clean owners turning their heads in the direction of Oman or India to get the best monies. Rates have largely gone unreported, but on Tuesday, a whopping 75KT x WS 725 for a WCI-Japan naphtha run was reported on subs. This is a record, and eyes have been on the area in the hopes that other deals come out the woodwork to support this very significant number and help rally the market.

This did not happen; charterers believe that the pricing offered by LR2 vessels is just not viable for the trade. This segment, for this week at least, has been priced out, and optimising on MRs has been much more the way to go. The position list will not be oversupplied for many weeks to come, so one cannot discount the possibility of a rally next week should stems emerge into the marketplace, but what is equally plausible is very quiet cherry-picking at discounted rates as and when charterers start to move barrels again.

It was a bit of an odd week for AG LR1s in reality; the market has been firm for some weeks now, but volumes have eased off this week. There was a hike in Westbound rates early on, but all the excitement in the market seemed to fizzle out thereafter, with any previous momentum subsiding. This is emphasised by the fact that following the record TC1 number, the LR1s did not manage to shift into gear and follow suit. TC5 has reportedly been paid at WS 550 several times, and there are rumours of WS 600 and even WS 700 – both unsubstantiated.

A strong Westbound rate had been paid early this week – USD 11.9 Mn basis Black Sea discharge via Suez – so UKC rates can be placed around USD 12.25 Mn via Suez. Whilst surface activity has been limited this week, charterers have likely been conducting conversations behind closed doors with a view of keeping a lid on the market as best they can, so perhaps some of these deals will spill into market knowledge next week. Ultimately, the LR1s are primed to firm based on fundamentals, so stay tuned…

It has been a mixed week for the MRs in NWE. Excitement was building following a very busy end to last week, where rates firmed on the back of paper levels continuing to trade higher and enough activity to clear a steady portion of the tonnage list. Levels began the week steady, with owners' sentiment firmly driving the market despite the underlying fundamentals pointing towards what felt like a softer tone.

As the week progressed and activity remained stagnant, levels could only hold for so long. Short-haul stems looked towards Handies as the more efficient option, while a lack of TC2 stems, with the arb closed, means we are yet to see a fresh test, with the next fixture expected around WS 195. Six ballasters have left NWE this week, with more expected to depart over the weekend as owners look to position in the stronger USG market, where levels are WS 400 and paper continues to support owners' decision-making.

	BDTI	BCTI
	7556	2538
Δ W-O-W	↓Softer	↑Firmer

BDA

(USD/LDT)	TKR/LRG	TKR/MED	TKR/SML
This week	506.5	514.7	517.8
Δ W-O-W	2.6	2.4	2.3

BALTIC TCE DIRTY

	Route	Qty	$ / Day	W-O-W
TD3C	ME Gulf / China	270,000	1,387,683	↓Softer
TD7	UKC / UKC	80,000	474,585	↓Softer
TD15	WAF / China	260,000	711,081	↓Softer
TD19	Med / Med	80,000	329,935	↓Softer
TD20	WAF / Cont	130,000	511,221	↓Softer
TD22	USG / China	270,000	551,352	↓Softer
TD25	USG / Cont	70,000	198,525	↓Softer
TD26	EC Mex / USG	70,000	247,546	↓Softer
TD27	Guyana / UKC	130,000	530,492	↓Softer

BALTIC TCE CLEAN

	Route	Qty	$ / Day	W-O-W
TC1	ME Gulf / Japan	75,000	284,616	↑Firmer
TC2	Cont / USAC	37,000	11,053	↓Softer
TC5	ME Gulf / Japan	55,000	202,500	↑Firmer
TC6	Algeria / EU Med	30,000	88,913	↑Firmer
TC7	Sing. / ECA	30,000	70,656	↑Firmer
TC8	ME Gulf / UKC	65,000	243,945	↑Firmer
TC14	USG / UKC	38,000	52,836	↑Firmer
TC17	ME Gulf / EAFR	35,000	113,357	↓Softer
TC20	ME Gulf / UKC	90,000	333,985	↑Firmer
TC21	USG / Caribs	38,000	47,575	↑Firmer

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